# NATIONAL COMPANY LAW TRIBUNAL
# NEW DELHI BENCH COURT-II

## COMPANY APPLICATION NO. CP CA (CAA)-75/ND/2023

**IN THE MATTER OF SCHEME OF AMALGAMATION OF:**

**M/s Axin Overseas Limited**
Registered office at:
S-10, Basement, Green Park Extension Market,
New Delhi-110016 **... Transferor Company**

**AND**

**M/s Sarla Overseas Limited**
Registered office at:
S-10, Basement, Green Park Extension Market,
New Delhi-110016 **... Transferor Company**

**WITH**

**M/s Mega Enterprise Private Limited**
Registered office at:
S-10, Basement, Green Park Extension Market,
New Delhi-110016 **... Transferee Company**

**Order delivered on: 22.05.2026**

**Section: 230-232 of the Companies Act, 2013**

**CORAM**

**SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)**
**MS. REENA SINHA PURI, HON'BLE MEMBER (T)**

**PRESENT**

**For the Applicant** : Adv. Ishwar Mohapatra
**For the OL** : Adv Katikeya Asthana, Adv Siddhidatri Jha
**For the IT Dept.** : Gaurav Gupta, SSC, Shivendra Singh, JSC, Yojit Pareek, JSC, Prassant Kumar Sharma, Adv

## ORDER

## PER: MS REENA SINHA PURI MEMBER (T)

The captioned Company Petition has been preferred jointly by the M/S Axin Overseas Limited (Petitioner No. 1/Transferor Company), M/S Sarla Overseas Limited (Petitioner No. 2/**Transferor Company**) and M/S Mega Enterprise Private Limited (Petitioner No. 3/**Transferee Company**) under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 and the said scheme[1] praying for the sanction of the Scheme of Arrangement. The Registered offices of the Petitioner Companies being in Delhi, the jurisdiction lies with this Bench.

**2.** Hereinafter, all the Transferor and Transferee Companies together are called Petitioner Companies'. The prayer made in the petition reads thus:

> *a) That an order for issue of notice of this petition be issued to the following:*
>
> *i. The Central Government/Office of the Regional Director, Northern Region, CGO Complex, Lodi Road, New Delhi;*
>
> *ii. The Registrar of Companies, NCT of Delhi & Haryana, 4th Floor, IFCI Tower, Nehru Place, New Delhi;*
>
> *iii. Office of the Official Liquidator, Delhi High Court, Lok Nayak Bhawan, Khan Market, New Delhi;*
>
> *iv. Income Tax office where Petitioner Companies are assessed.*
>
> *b) That the notice of the date fixed for hearing of this petition be ordered to be published in the newspaper PIONEER in Hindi & PIONEER in English language.*

[1] Annexure A1,Page No. 48-70 of Petition

c) *That the said proposed Scheme of Amalgamation be sanctioned to be binding on all the shareholders and creditors of the Petitioner Companies and on Petitioner Companies.*

d) *That the transferor company be ordered to dissolved without winding up.*

e) *Issue such orders or directions be given as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the present case.*

**3. M/S Axin Overseas Limited** (Transferor Company-1) is incorporated on 26.09.1998 under the Companies Act, 1956 as a private company with the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, bearing CIN-U18100DL1988PLC033312 and having its registered office at S-10, Basement, Green Park Extension Market, New Delhi-110016. The authorized and paid-up capital is Rs. 50,00,000/- and Rs. 47, 94,470/- respectively.

**4. M/S Sarla Overseas Limited** (Transferor Company-2) is incorporated on 03.12.1985 under the Companies Act, 1956 as a private company with the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, bearing CIN-U18100DL1985PLC022671 and having its registered office at S-10, Basement, Green Park Extension Market, New Delhi-110016. The authorized and paid-up capital is Rs. 2,00,00,000/- and Rs. 75,00,000/- respectively.

**5. M/S Mega Enterprise Private Limited** (Transferee Company) is incorporated on 20.08.1993 under the Companies Act, 1956 as a private company with the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, bearing CIN-U74899DL1993PTS054908 and having its registered office at S-10, Basement, Green Park Extension Market, New Delhi-110016. The

authorized and paid-up capital is Rs.40, 00,000/- and Rs. 33,52,300/- respectively.

**6.** The First Motion petition was filed by the Petitioner Companies, seeking directions for dispensing with the requirement of convening and holding meetings of equity shareholders, secured creditors and unsecured creditors of the Petitioner Companies. In the First Motion Application bearing No. C.A.(CAA)- 92/ND/2022, this Tribunal passed Order dated 26.10.2023 and dispensed with the requirement of convening meetings of equity shareholders, secured creditors and unsecured creditors of the Petitioner Companies.

**7.** The Appointed Date of the Scheme is 01.04.2021 as defined[2] in Clause 2(b) of the Scheme of Arrangement.

**8.** The rationale[3] of the scheme of amalgamation, as stated by the Petitioners, reads thus:

> *1B. RATIONALE BEHIND THE AMALGAMATION*
>
> *The main objective of the proposed Scheme of Amalgamation will be as follows:*
>
> *a. The Transferor Companies and Transferee Company are inter-related Companies. However to comply various statutory requirement lots of administrative actions are required to be taken. Therefore, the purpose of this Scheme of Amalgamation is to merge Transferor Companies into Transferee Company by vesting entire undertaking of Transferor Companies with Transferee Company;*
>
> *b. By virtue of such exercise, it is expected to accomplish considerable management and administrative efficiency resulting*

[2]Annexure 1- Page 51 of the Petition
[3] Annexure -1-Page 50 of Petition

*into synergy of operations and greatly reducing administrative expenses;*

c. *The Scheme will culminate into single effective entity, which will be able to execute objects more efficiently without any constraint to achieve better results. It will also economize resources and energy. It is therefore in the interest of members of the respective companies as such merger may increase share holders' value;*

d. *The amalgamation will enable the companies to pool in their financial, managerial, technical and other resources and use the financial, managerial, technical and marketing and distribution expertise of each other;*

e. *The proposed Scheme will contribute in furthering and fulfilling the objects of the companies concerned and enabling the optimum growth and development of their combined businesses;*

f. *With the enhanced capabilities and resources at its disposal, the Amalgamated Company will have greater flexibility to market and meet customer needs and will be able to compete more effectively, thus, further strengthening its market position in domestic and international markets."*

**9.** In the Second Motion application filed by the Petitioner Companies, this Tribunal in pursuance to order dated 22.11.2023, directed the Petitioner Companies to issue notices to the statutory/regulatory authorities, including the Income Tax Authorities, and to publish notices in the local editions of *"The Pioneer"* (English and Hindi) in terms of Rule 7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. In compliance, the Petitioner Companies filed an Affidavit of Service dated 30.12.2023, confirming service of notices on the authorities and publication in *"The Pioneer"* (English and Hindi) on 21.12.2023.

**Statutory Authorities: Registrar of Companies (RoC)/Regional Director**

**10.** Upon review of the records, it is noted that the Regional Director (RD) submitted its report dated 06.02.2024, detailing with certain observations and requesting supplemental information from the Petitioner Companies concerning the scheme of amalgamation. The observations raised by the RD, reply of the Applicant Companies and final remarks of the RD/RoC are read thus:

| S.No. | Observations/Objections by RD and ROC[4] | Reply by Applicant Companies[5] | Final Remarks by RD/ROC[6] |
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| 1. | As per MCA General Circular no. 9/2019 dated 21.08.2019, if the appointed date is significantly ante-dated beyond a Year from the date of filling, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the appointed date is 01.04.2021. However, the justification of the same is not clearly brought out. | The Transferee Company clarifies as under: That all applicant companies has filed joint application/1st motion during month April, 2022 and appointed date fixed as per Scheme of Merger was 01.04.2021. As the approval of Scheme of Merger is not completed as on date, all petitioner companies in their respective board meeting decided to fix/adopt the appointed date as 01.04.2024. That Hon'ble Tribunal may consider the changed appointed date at the time of approval of Scheme of Merger/ Amalgamation. Copy | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |

[4] Page 4 & 5 of RD and ROC Report
[5] Page 5 of Reply affidavit by the Transferee Company to observation to Report by Regional Director
[6] Page 5 of RD and ROC Report

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| | | of the board resolution of the all petitioner companies are enclosed as Annexure-1. | |
| 2 | As per Clause 4 of Part-II of the Scheme, this Scheme, though operative from the Appointed date shall only become effective from the Effective date. However, as per section 232(6) of the Act, the Scheme shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. The company may be asked to clarify the same. | Clause 4 of the Scheme is reproduced as under:<br>"This Scheme, though operative from appointed date shall only become effective from effective date."<br>The term effective date means date when certified copies of NCLT order approving the scheme filed with concerned Registrar of Companies. This means though the Scheme is operative from appointed date but will come into effect only when certified copies of NCLT order approving the scheme filed with concerned Registrar of Companies which is the effective date. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |
| 3 | As per audited financial statements of the Transferor Company no. 1 and 2 and Transferee Company for the F.Y.2022-23, it is seen that the company has 'nil' revenue from operation since last two years. Hence, the companies appears to be dormant u/s 455 of the Companies Act, 2013. | Section 455 of the Companies Act 2013 makes it optional for a company to apply to ROC for dormant status ... It is not mandatory. The relevant expression used in section 455(1) is "may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |

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| | | The company did not opt within its rights to apply for dormant status because directors are under impression that there may be the possibilities of undertaking business activity in near future. | |
| 4 | The Transferor Company no.1 and 2 and Transferee Company have not filed. Form MGT-6 in respect of shareholdings by HUF. Also the shareholding of the, HUF is more than 10% so the filing of BEN-2 is mandatory. | That transferor company has filed the MGT-6 and due to technical reasons the company is unable to filed BEN-2 for which the ticket has been raised for resolution with MCA. The Company undertakes to file BEN-2 once technical issue is being resolved by MCA. Copy of MGT-6 filed is enclosed as Anneure-2 & Copy of ticket raised is enclosed as Annexure-3. Subsequently it has been filed with SRN No. F93503225 dated 18.03.2024 and enclosed as Annexure -4. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |
| 5 | As per audited financial statements, Transferor Company no. 1 is doing Investment activity only. Hence, the company may be asked to furnish clarification regarding compliance of applicable RBI regulations in this regard. | That Transferor Company is not carrying on any investment business which can be seen from balance sheet of the company. Moreover Transferor Company 1 is not a NBFC· registered with RBI. That the investment has been made in closely held company. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |

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| | | However, transferee company undertakes to comply with the legal provision if any required under RBI regulations consequent upon approval of scheme of merger. | |
| 6. | As per audited financial statements of the Transferor Company no. 1, details of the 'Expense payable' under head 'Other Current Liabilities' is not given. The company may be asked to clarify the same. | The details of expenses payable is as under:<br>• Audit fees Payable-1,45,600<br>• Due to Director (Expenses)-65,400<br>• Printing and Stationary-1,461<br>• Professional Charges-20000 | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper |
| 7. | The most important purpose of the Scheme seems to be transfer of investment held in Mega International Private limited by Transferor Company no. 1 and 2 to the Transferee Company. | It is submitted that the main objective of proposed Scheme of Merger is to combine resources, elimination of common administrative cost etc. as these are group companies. So it cannot be said that the proposed Scheme of Merger is contemplated only to transfer of investment held in Mega International Private Limited by Transferor Company 1 & 2 to the Transferee Company. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |

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| 8. | Refer to clause 6 (iv) of Part II of the scheme, the Transferee company may kindly be directed to comply with the provision of section 232(3)(i) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital, if applicable. | The Transferee Company undertakes to pay additional registration fees on account of increased authorised capital as per provisions of Section 232(2)(i) of the Companies Act, 2013. | The Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper. |

**Statutory Authorities: Official Liquidator**

**11.** The Official Liquidator has filed its report[7] dated 08.07.2025, pursuant to notice issued under Section 230(5) of the Companies Act, 2013 read with Rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, stating that no complaint against the proposed Scheme of Amalgamation has been received from any interested person up to the date of filing of the report. Upon examination of the documents and e-forms filed on the MCA21 Portal, the capital structure of the Transferor Companies and the Transferee Company is found to be in consonance with the Scheme. It is further observed that the Transferor Companies have not filed Form BEN-2 under Section 90(4) of the Act read with the relevant Rules, and that the balance sheets for the last three financial years reflect certain pending litigations against the Transferor Companies.

[7] Page 1-7 of Official Liquidator's Report

**Statutory Authorities: Income Tax Department (ITD)**

**12.** The Income Tax Department has also filed the reports with respect to the petitioner companies. It is stated that no tax concession/relief sought may be granted to the Petitioner Companies in any matter and that the ITD retains the authority to pursue its investigation or scrutiny, as deemed necessary. Further, it is clarified that no provision of the Scheme can override the operation of the existing provisions of the Income Tax Act, 1961.

**13.** With respect to the Transferee Company, vide report dated 08.01.2026, ITD has stated that no income tax demand is pending against the Company. It has further been noted that the Company has filed its Tax Returns from AY 2008–09 to AY 2024–25, except for AY 2011–12 and 2012–13.

**14.** With respect to the Transferor Companies, vide report dated 01.12.2025, ITD has not raised any objection to the proposed Scheme of Amalgamation. While stating that no assessment proceedings are pending, it has however referred to pending demands of Rs. 1000/- in case of Transferor Company No. 1 for AY 2023–24 and Rs. 1000/- in case of Transferor Company No. 2 for AY 2022–23.

**15.** The Authorized Representative of the Transferee Companies has filed an Affidavit dated 10.12.2025 in response to the report of the Income Tax Department, wherein it is stated that Transferor Company No. 1 and Transferor Company No. 2 have duly discharged the aforesaid demand by making payments vide Challan No. 01029 and Challan No. 01030, respectively, dated 03.12.2025, and accordingly, no income-tax liability remains outstanding.

**Accounting Treatment**

**16.** Certificate of the statutory auditor[8] of the Petitioner Companies has been placed on record to the effect that accounting treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

**ANALYSIS AND FINDING**

**17.** We have heard the learned counsel appearing for the parties and have perused the records.

**18.** After examining the Scheme in detail, and in the absence of any further objections having been placed on record before this Tribunal, and it being satisfied that all requisite statutory compliances have been duly fulfilled, this Tribunal is of the considered view that the Scheme of arrangement proposed amongst the Petitioner Companies does not appear to be prejudicial to the interests of the equity shareholders or creditors of the Transferor Companies and the Transferee Company. The Scheme appears to be fair and reasonable and beneficial to the said companies and their stakeholders. Accordingly, the Scheme stands sanctioned.

**19.** Notwithstanding the sanction granted to the Scheme, if any deficiency is found or any violation of any enactment, statutory rule or regulation is detected, such sanction shall not preclude any action being taken in accordance with law against the concerned persons, directors or officials of the Transferor Companies and the Transferee Company.

[8] Annexure 10,Page 237-239 of the Petition

**20.** It is made clear that if at any stage the undertakings or commitments made in respect of the observations of the Regional Director are found not to have been complied with, or are found to be incorrect, the present order shall be liable to be recalled.

**21.** It is further directed that any term contained in the Scheme which is contrary to the provisions of Section 6 of the Companies Act, 2013 shall be treated as *non est*.

**22.** It is also clarified that this Order shall not be construed as granting any exemption from payment of stamp duty, taxes or any other statutory charges payable in accordance with law, nor shall it be construed as dispensing with any permission, approval or compliance required under any applicable law.

**23.** It is clarified that the present Order shall not affect or come in the way of any pending investigation, proceedings or inquiry in relation to the Applicant Companies or their promoters, directors, key managerial personnel or any other persons associated with the affairs of the companies.

**24.** It is further clarified that any pending proceedings before any statutory or regulatory authority shall remain unaffected by the approval of the Scheme of Amalgamation and shall continue in accordance with law, without prejudice to the powers of the concerned authorities. Any liability that may arise pursuant to such proceedings, including those crystallizing after the Effective Date, shall be borne and discharged by the Transferee Company. The Transferee Company shall extend full cooperation and assistance to the concerned authorities, and this Order shall not be construed as impeding or prejudicing any investigation, inspection or other proceedings.

**25.** It has been submitted by the Transferee Company and the Transferor Companies that no statutory demands are presently outstanding against them. It is, however, made clear that the rights of the Income Tax Department shall not in any manner be affected by the sanction of the present Scheme. In the event any demand arises in respect of the Transferor Companies, the same shall be borne and discharged by the Transferee Company.

**26.** Additionally, any proceedings initiated or continued by the Income Tax Department against the Transferor Companies shall, upon the Scheme becoming effective, be deemed to have been initiated or continued against the Transferee Company, which shall step into the shoes of the Transferor Companies for such purposes and shall be liable to respond and comply in accordance with law.

**27.** It is further clarified that any revision of financial statements, income tax returns, GST returns or other statutory filings shall be carried out strictly in accordance with law and without contravening Sections 130 or 131 of the Companies Act, 2013 or any other applicable statutory provision, and without causing prejudice to the interests of stakeholders. If any party is aggrieved by any such revision or action undertaken pursuant to the Scheme in violation of law, such party shall be at liberty to seek appropriate remedies in accordance with law against the Transferee Company.

**28.** The Transferor Companies and the Transferee Company shall remain bound to comply with the provisions of the Companies Act, 2013, the rules and regulations framed thereunder, and all other applicable laws for the time being in force.

**29.** In compliance with the requirement of Section 232(7) of the Act, the Transferee Companies shall until the full implementation of the Scheme of Amalgamation file a statement every year in Form CAA 8 along with the required fee with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

**30.** It is further clarified that the sanction of the Scheme shall in no manner affect the tax treatment of the transactions contemplated therein under the provisions of the Income Tax Act, 1961, and shall not operate as any exemption or defense in respect of any tax liability arising under the said Act and the rules made thereunder.

**31.** It is clarified that the Amalgamated Company shall not be entitled to claim any refund, credit of advance tax or withholding tax, or any immunity from demand of income tax, except in accordance with the provisions of the Income Tax Act, 1961 and the rules made thereunder.

**32.** This Tribunal does further order:

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Companies and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Companies for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Companies and accordingly the same shall become the liabilities and duties of the Transferee Companies; and

iv. That all proceedings now pending by or against the Transferor Companies shall be continued by or against the Transferee Companies; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the Scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Companies on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Transferor Companies and the Transferee Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

**33. Accordingly, the Scheme stands sanctioned and CP(CAA)/75(ND)/2023 stands disposed of on the above terms.**

**34.** The copy of the order be served to the parties.

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| **Sd/-** | **Sd/-** |
| **(REENA SINHA PURI)** | **(ASHOK KUMAR BHARDWAJ)** |
| **MEMBER (T)** | **MEMBER (J)** |